THE UNITED REPUBLIC OF TANZANIA
THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
NAMANGA FORM THREE PRE-MIDTERM EXAMINATION

BOOK KEEPING
MARKING SCHEME AUGUST 2024

SECTION A (15 MARKS)

1. **MULTIPLE CHOICE ITEMS;**

I	ii	Iii	Iv	V	Vi	Vii	viii	ix	X
D√	A√	C√	E√	A√	E√	B√	C√	B√	D√

10 Ticks @ 1 Mark = Total (10 Marks)

2. **MATCHING ITEMS;**

I	ii	Iii	Iv	V
D√	E√	G√	F √	A√

5 Ticks @ 1 Mark = Total (5 Marks)

SECTION B (40 MARKS)

3. **NOT-FOR-PROFIT ORGANIZATIONS ACCOUNTING;**

Receipts & Payments Account	**Income And Expenditure Statement**
- It is a real account.	- It is a nominal account.
- The balance in this account is either cash in hand or overdraft.	- Its balance is either surplus or deficit.
- It is recorded under cash basis without adjustments.	- It is prepared under accrual basis with adjustments of all kinds.
- Receipts are debited to this account.	- Receipts are credited from this account.
- Payments are credited from this account.	- Payments are debited in this account.

10 ticks, Well Explained @ 1 Marks = Total (10 Marks)

4. **BANK RECONCILIATION;**

DR			**UNADJUSTED CASH BOOK** √				**CR**
Date	**Particulars**	**Folio**	**Amount**	**Date**	**Particulars**	**folio**	**Amount**
10/12/2020	CHEQUE		2,200√	1/12/2020	Balance	b/d	4,000√
31/12/2020	CHEQUE		600√	5/12/2020	Muna & Co.		1,000√
31/12/2020	Mashaka		1,200√	15/12/2020	Pesambili		2,500√
31/12/2020	Balance	c/d	7,000√	31/12/2020	Matata		3,500√
			11,000				**11,000**√
				1/1/2021	Balance	b/d	7,000√

MASAWE'S BANK RECONCILIATION STATEMENT AS AT 31ST December 2011 √ TZS		
Balance as par cash book		7,000√
Add: Deposits in transit: Mashaka	1,200√	
Bank charges	1,300√	
Standing orders	500√	3,000
		10,000
Less: Outstanding CHEQUES: Matata	3,500√	
Dividends	1,500√	
Credit transfer	3,000√	8,000
Balance as par bank statement		**2,000√**

20 ticks @ 1/2 Marks = Total (10 Marks)

5. **CONTROL ACCOUNTS**

DR √	DEBTORS CONTROL ACCOUNT √						CR√
Date	Particulars	f	Amount	Date	Particulars	f	Amount
1/8/2022	Balance	b/d	3,816,000√	1/8/2022	Balance	b/d	22,000√
'/8/2022	Sales		7,090,000√	'/8/2022	Cash		104,000√
'/8/2022	Cash		37,000√	'/8/2022	Bank		6,239,000√
'/8/2022	Dishonored Cheques		29,000√	'/8/2022	Bad debts		306,000√
'/8/2022	Interest charges		50,000√	'/8/2022	Discount allowed		298,000√
31/8/2022	Balance	c/d	40,000√	'/8/2022	Return inwards		664,000√
				31/8/2022	Balance	c/d	3,429,000√
			11,062,000√				**11,062,000**√
1/9/2022	Balance	b/d	3,429,000√	1/9/2022	Balance	b/d	40,000√

20 ticks @ 1/2 Mark = Total (10 Marks)

6. **INCOMPLETE RECORDS;**

DR	STOCK ACCOUNT √				CR
May 1	Balance b/d (Balancing)	1,250,040√	"	Cost of Sales	18,400√
"	Purchases	15,100√	"	Not Yet Received	5,300√
"	Sales return	1,760√	May 3	Balance c/d	1,246,200√
"	Valueless and obsolete	3,000√			
		1,269,900			**1,269,900**√
May 4	Balance b/d	1,246,200√			

Workings;
Cost of sales = 23,000 – 0.2 * 23,000 = 23,000 – 4,600 = 18,400.
Sales return = 2,200 – 0.2 * 2,200 = 2,200 – 440 = 1,760.
Therefore; the stock on 30th April 2015 was TZS 1,250,040.

10 Ticks @ 1 Mark = Total (10 Marks)

SECTION C (45 MARKS)

7. **NON-CURRENT ASSETS;**

DR			MOTOR VEHICLES ACCOUNT √				CR√
Date	**Particulars**	**F**	**Amount**	**Date**	**Particulars**	**F**	**Amount**
1/4/2013	Balance	b/d	**126,000,000√**	30/3/2014	Balance	c/d	**126,000,000√**
1/4/2014	Balance	b/d	126,000,000√	1/1/2015	Disposal		54,000,000√
				31/3/2025	Balance	c/d	72,000,000√
			126,000,000√				**126,000,000√**
1/4/2015	Balance	b/d	72,000,000√				

DR			PROVISION FOR DEPRECIATION - MOTOR VEHICLES ACCOUNT √				CR
Date	**Particulars**	**F**	**Amount**	**Date**	**Particulars**	**F**	**Amount**
31/3/2014	Balance	c/d	80,700,000√	1/4/2013	Balance	b/d	55,500,000√
				31/3/2014	Profit or loss		25,200,000√
			80,700,000√				**80,700,000√**
1/1/2015	Disposal		21,600,000√	1/4/2014	Balance	b/d	80,700,000√
31/3/2015	Balance	c/d	73,500,000√	31/3/2015	Profit or loss		14,400,000√
			95,100,000√				**95,100,000√**
				1/4/2015	Balance	b/d	73,500,000√

DR			DISPOSAL - MOTOR VEHICLES ACCOUNT √				CR
Date	**Particulars**	**F**	**Amount**	**Date**	**Particulars**	**F**	**Amount**
1/1/2015	Vehicles		54,000,000√	1/1/2015	Acc. Deprec.		21,600,000√
				1/1/2015	Bank /cash		28,500,000√
				31/3/2015	Profit or loss		3,900,000√
			54,000,000√				**54,000,000√**

30 Ticks @ 1/2 Mark = Total (15 Marks)

8. **CORRECTION OF ERRORS**

JOURNAL ENTRIES √ TZS				
S/No.	**Account names**	**Folio**	**Debit**	**Credit√0**
(a)	Drawings account √		2,200,000	
	Miscellaneous expenses account√			2,200,000
	(Being error of principle correction) √			
(b)	Rates prepaid account √		750,000	
	Rent account√			750,000
	(Being error of principle correction) √			
(c)	Motor van expenses account√		258,000	
	Motor van owing expenses account √			258,000
	(Being error of omission correction) √			
(d)	Stationery expenses account √		105,000	
	Stationery assets account √			105,000

	(Being adjustment of unused stationeries) √			
	Stationery assets account√		143,000	
	Stationery expenses account√			143,000
	(Being adjustment of unused stationeries) √			
(e)	Bad debts account √		345,000	
	Debtors account √			1,600
	(Being error of omission correction) √			
(f)	Discount allowed account√		350,000	
	Debtors account√			350,000
	(Being error of omission correction) √			
	Creditors account √		650,000	
	Discount received account√			650,000
	(Being error of omission correction) √			

MR. AMANI √ 'TZS' STATEMENT OF CORRECTED NET PROFIT FOR THE YEAR ENDED 31ST DECEMBER 2016		
Reported net profit		15,667,000√
Add: Miscellaneous Expenses Overcast	2,200,000√	
Rent overcast	750,000√	
Stationery expenses overcast	143,000√	
Discount received undercast	650,000√	3,743,000√
		19,410,000√
Less: Motor van expenses undercast	258,000√	
Stationery expenses undercast	105,000√	
Bad debts undercast	345,000√	
Discount allowed undercast	350,000√	1,058,000√
Corrected net profit		**18,352,000√**

40 Ticks @ 0.375 Mark =Total (15 Marks)

9. **FINANCIAL STATEMENTS WITH ADJUSTMENTS;**

KIBABU LTD. TZS √ AN INCOME STATEMENT FOR THE YEAR ENDED 31ST DECEMBER 2021			
Sales			928,400√
Less; **Cost of Goods Sold;**			
Stocks at 1st January 2021		98,000√	
Purchases (742,900 – 15,000)		727,900√	
Cost of goods available for sale		**825,900**√	
Less; Stock 31st Dec. 2021		104,500√	721,400√
Gross profit			**207,000**√
Add: Other Incomes			
Discount received			9,500√
Total Incomes			**216,500**√
Less; Expenses			
Depreciation: Furniture And Fittings		1,500√	
Delivery van		2,000√	

Provision for doubtful debts (2,900-2,250)		650√	
Rates (8,000 – 1,500)		6,500√	
Insurance (2,250 – 550)		1,700√	
General expenses		32,940√	
Wages and salaries (84,670 + 2,900)		87,570√	
Discount allowed		12,000√	
Bad debts written off		5,720√	150,580√
Net profit			**65,920**√

KIBABU LTD. TZS √ **STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER 2021**			
Non-current assets;			
Land & buildings			237,000√
Furniture & fittings		15,000√	
Less; Depreciation		1,500√	13,500
Delivery van		10,000√	
Less; Depreciation		2,000√	8,000
Current assets;			
Stocks		104,500√	
Debtors	94,280√		
Less; Provision for doubtful debts	2,900√	91,380√	
Bank		17,460√	
Pre-paid insurance		550√	
Rates pre-paid		1,500√	215,390√
Total assets			**473,890**√
Capital		380,000√	
Add: Additional Capital	10,000√		
Net profit	65,920√	75,920√	
		455,920√	
Less; Drawings (39,400 + 15,000)		54,400√	401,520
Current liabilities;			
Creditors		69,470√	
Wages and salaries outstanding		2,900√	72,370
			473,890√

45 Ticks @ 1/3 Mark =Total (15 Marks)

▲